

# FEDERAL MARITIME COMMISSION

REVOCATION OF EXEMPTION FROM  
46 U.S.C. § 40703 GRANTED TO  
HAINAN P O SHIPPING CO., LTD.

Docket No. 25-18

Served: August 21, 2025

**BY THE COMMISSION:** Rebecca F. DYE,  
Daniel B. MAFFEI, Max M. VEKICH, *Commissioners.*

## **Order Revoking Exemption**

On December 9, 2010, pursuant to 46 U.S.C. § 40103, the Federal Maritime Commission (the “Commission”) granted Hainan P O Shipping Co., Ltd. (“Hainan”), which at that time was a controlled carrier, an exemption from the publication requirements of 46 U.S.C. § 40703. Hainan has since been removed from the Commission’s list of controlled carriers. As a result, the Commission is now revoking this exemption.

## **I. BACKGROUND**

Hainan, which had been classified as a controlled carrier on July 23, 2010, was added to the controlled carriers list on August 27, 2012. On that same day, the Commission’s Office of the General Counsel (OGC) notified Hainan that it met the criteria for classification as controlled carriers and were subject to the requirements of 46 U.S.C. §§ 40701–40706.<sup>1</sup>

---

<sup>1</sup> See 77 FR 51801.

On December 9, 2010, the Commission granted Hainan an exemption from 46 U.S.C. § 40703, which states that “a rate, charge, classification, rule, or regulation of a controlled carrier may not become effective, without special permission of the [Commission], until the 30th day after publication.” Docket No. P1-10, *Order Granting Petition*. This exemption allowed Hainan to reduce its tariff rates effective upon publication. On August 2, 2017, OGC removed Hainan from the Commission’s list of controlled carriers because it was no longer operating as a common carrier.<sup>2</sup>

On May 30, 2025, the Commission published in the Federal Register a notice of intent to revoke the section 40703 exemptions to controlled carriers that were no longer on the Commission’s list of controlled carriers.<sup>3</sup> The Commission invited public comments on the proposed action; no comments were received in response to this notice.

## **II. DISCUSSION**

The Commission has the authority under 46 U.S.C. § 40103 to grant exemptions for agreements or activities if the exemption will not result in a substantial reduction in competition or be detrimental to commerce. The requirements of 46 U.S.C. § 40703 specify that controlled carriers’<sup>4</sup> rates, charges, classifications, rules or regulations may not become effective until the 30th day after publication, unless the Commission grants an exemption. In addition, “[t]he Commission may attach conditions to an exemption

---

<sup>2</sup> See 82 FR 35946.

<sup>3</sup> See 90 FR 23052.

<sup>4</sup> 46 U.S.C. § 40102(9) (defining a controlled carrier as “an ocean common carrier that is, or whose operating assets are, directly or indirectly, owned or controlled by a government, with ownership or control by a government being deemed to exist for a carrier if—(A) a majority of the interest in the carrier is owned or controlled in any manner by that government, an agency of that government, or a public or private person controlled by that government; or (B) that government has the right to appoint or disapprove the appointment of a majority of the directors, the chief operating officer, or the chief executive officer of the carrier.”)

and may, by order, revoke an exemption.”<sup>5</sup> In granting exemptions from section 40703, the Commission has declined to grant permanent exemptions because doing so would impinge on the Commission’s authority to revoke them.<sup>6</sup>

Hainan is no longer on the Commission’s list of controlled carriers; it was removed from the list because it no longer operated as an ocean common carrier in the U.S.-foreign trades. As such, the exemption granted under 46 U.S.C. § 40703 no longer applies because Hainan is no longer a controlled carrier. As a result, the Commission is revoking this exemption. The revocation of this exemption does not prevent Hainan from petitioning for the exemption again if its status changes.

---

<sup>5</sup> See 46 U.S.C. §§ 40103(a), 40704(a).

<sup>6</sup> See, e.g., Petition of China Ocean Shipping (Group) Company for a Partial Exemption from the Controlled Carrier Act, Docket No. P3-99, *Order Granting Petition in Part* (April 1, 2004) (“The Commission declines to make this exemption permanent, as the Petition requests... a specific provision for ‘permanence’ of this Order would abrogate the Commission’s authority under section 16 and its obligations under section 9 [of the Shipping Act of 1984]... The Commission retains its full authority to revoke the instant exemption subject to the requirements of section 16 of the Shipping Act of 1984, 46 U.S.C. app. § 1715.”)

### **III. CONCLUSION**

The Commission hereby:

**REVOKES** the exemption from the requirements of  
46 U.S.C. § 40703 granted to Hainan P O Shipping  
Co., Ltd. under 46 U.S.C. § 40103.

By the Commission.

David Eng  
Secretary